# Bitcoin Payments for Your Coffee Shop

## A Complete Financial Analysis

**Reading time: ~20 minutes**

## Starting With the Right Question

Most discussions about Bitcoin payments start with: "How can we make it easy for customers to pay with Bitcoin?"

That's backwards.

The right question is: **"I've built a successful coffee shop netting $100,000 per year. How does accepting Bitcoin improve MY financial position?"**

This analysis answers that question with specific numbers, conservative projections, and zero hype. We're working backwards from your success - not trying to convince you Bitcoin is the future, but showing you how a small operational decision could meaningfully add value to your business.

## Meet Ned's Coffee: The Case Study

**Location:** Logan Square, Chicago, Illinois
**Annual Revenue:** $400,000
**Owner Take-Home Profit:** $100,000
**Business Model:** Successful neighborhood coffee shop with loyal local customer base

Ned's is doing well. Strong location in one of Chicago's coolest neighborhoods, quality products, regular customers who come back. The business works.

But here's something Ned probably doesn't think about much:

**Annual credit card processing fees: $16,400**

- Average transaction: $10
- Daily transactions: ~110
- Annual transactions: ~40,000
- Square's standard fees: 2.6% + $0.15 per transaction
- Breakdown: $10,400 in percentage fees + $6,000 in per-transaction fees

That's $16,400 leaving the business every single year just to process payments. It's invisible because it happens automatically. It's accepted as "the cost of doing business in 2025."

But what if it doesn't have to be?

# What Changed on November 10, 2025

Square (a Block company - the parent of Square and Cash App) is launching Bitcoin Payments with a promotional offer that fundamentally changes the economics:

## The Square Bitcoin Offering

**Bitcoin Payments:**

- **0% processing fees through all of 2026** (entire first year)
- **1% processing fees starting January 1, 2027**
- Lightning Network technology (near-instant settlement)
- **Merchant's choice:** hold Bitcoin OR auto-convert to USD

**How it works for Ned:**

Customer (let's call him Chris) walks in, orders burrito + coffee ($13.50)

**With Bitcoin:**

- Chris pays with Lightning Network on his phone (scans QR code)
- Chris's Lightning fee: ~5-6 cents (he pays this, not you)
- Ned's fee in 2026: **$0.00**
- Ned's fee in 2027+: **$0.14** (1% of $13.50)
- Settlement: Instant to Ned's Square wallet

**Compare to credit card:**

- Customer fee: $0 (invisible to them)
- Ned's fee: **$0.50** (2.6% + $0.15)
- Settlement: 1-2 business days

This isn't a crypto startup making promises. This is Square - processing billions in transactions for millions of businesses - integrating Bitcoin into the same POS system Ned already uses daily.

# Why Customers Want to Pay with Bitcoin

Bitcoin isn't just an investment asset anymore. For a growing number of people, it's their preferred way to pay - and they actively seek out businesses that accept it.

**They're out there, and they're looking for you.** After Square's November 10th launch, there's buzz in the Bitcoin community. People are checking which businesses accept it. They want to support early adopters.

**Why people choose to pay with Bitcoin:**

1. **They're convinced it's better money** - Lightning Network makes it instant and cheap. They own it completely.

2. **They want to support businesses that accept it** - They see it as supporting the future they believe in. They're loyal customers.

3. **They already have it ready to spend** - Companies like Strike (Chicago headquarters) and Cash App make it work like Apple Pay.

4. **It's fun for them** - Most places still don't accept it. Finding a business that does feels special.

**In Logan Square specifically:** High concentration of tech workers, remote workers, and creatives. Strong local Bitcoin culture. These are your neighbors, already getting coffee somewhere. Once they find you, they become your most loyal customers.

# The Story: What This Actually Looks Like

***A note about the price projections in this narrative:*** *The Bitcoin prices mentioned throughout this story are based on the Power Law model - a mathematical pattern Bitcoin has followed for 16 years with 95% correlation. We have a separate document that explains this model in detail, including what fractional Bitcoin amounts could be worth in 2035 and beyond. If you'd like that context first, we're happy to provide it. For now, we'll use these projections to show what the business case could look like.*

Let's make this concrete. It's January 2026. Ned enabled Bitcoin payments in his Square dashboard (took 2 minutes). He put up a small sign: "Bitcoin accepted here."

## Month 1: The Early Adopters Find Him

**Week 1:** Nothing. Then on Thursday, a guy in his 30s orders a burrito and asks: "Do you really accept Bitcoin?" Ned nods. The guy lights up, pulls out his phone, scans the QR code, and pays. Lightning-fast. "Dude, this is awesome. I live two blocks away and didn't know you accepted it. I'll be back."

**Week 3:** Three more Bitcoin customers. One of them (let's call him Mike) comes back the next day. And the day after. Mike becomes a regular.

**Week 4:** Mike brought a friend. They both paid with Bitcoin. They sat for two hours, working on laptops, ordering multiple times. Great customers.

**End of Month 1:** 12 Bitcoin transactions, $189 in revenue, $0 in fees (Square's 0% promo). Would have been $6.83 in credit card fees. Saved: $6.83.

**Ned's reaction:** "Huh. That was easy."

## Month 6: The Pattern Emerges

It's June 2026. Ned now has about 8-10 regular Bitcoin customers. They come in 2-3 times per week. They tip well. They're friendly. They've brought friends (who don't use Bitcoin, but who are now regular customers too).

**The surprise:**

- Bitcoin customers have NEVER complained about price increases
- They're genuinely enthusiastic about supporting businesses that accept it
- They tell other Bitcoin users about you

Ned's running 50/50 strategy - half to cash, half held in Bitcoin.

**Year-to-date (January-June 2026):**

- Bitcoin revenue: $2,100
- Cash received: $1,050
- Bitcoin held: 0.0194 BTC (bought at various prices, average ~$115K)
- Current value of held Bitcoin: ~$1,070 (Bitcoin now at $125K, up from yearly average)
- Fee savings: $90 (vs. credit cards)

Ned checks his Square dashboard maybe once a week. The Bitcoin balance goes up and down, but he doesn't stress about it. It's only 1% of his business.

## End of Year 1: Filing 2026 Taxes (April 2027)

Ned sits down with his accountant, who asks: "So how'd this Bitcoin thing go?"

**2026 Results:**

- Total Bitcoin revenue: $4,000
- Cash converted: $2,000 (sitting in business checking)
- Bitcoin held: 0.0296 BTC
- Current Bitcoin price: $155,000 (end of 2026)
- Bitcoin portfolio value: $4,582
- Fee savings vs. credit cards: $164

**Accountant:** "So you received $4,000 in Bitcoin payments, you converted $2,000 to cash immediately, and you held $2,000 in Bitcoin which is now worth $4,582?"

**Ned:** "Yep."

**Accountant:** "And what did this cost you to implement?"

**Ned:** "Nothing. It's just a setting in Square."

**Accountant:** "Want my advice? Keep doing exactly what you're doing. The tax treatment is straightforward - you have ordinary income when you receive it, and you'll have capital gains when you sell the Bitcoin portion. From a business strategy perspective, this is a no-brainer."

## Year 2: Bitcoin Crosses $200K (Late 2027)

It's November 2027. Bitcoin just crossed $200,000.

Everywhere Ned looks:

- News stories about Bitcoin millionaires
- His customers talking about Bitcoin
- Other businesses in Logan Square putting up "Bitcoin accepted" signs
- The Bitcoin meetup down the street has doubled in size

**Ned's business:**

- Regular Bitcoin customers: Now 15-20 people
- 2027 Bitcoin revenue: $6,000 (1.5% of transactions)
- Some of his regular cash customers are asking: "How do I pay with Bitcoin?"

**The financial picture (2026-2027):**

- Cash accumulated from 50/50 strategy: $5,000
- Bitcoin accumulated: 0.0622 BTC
- Current value: $13,062 (at $210K per BTC year-end)
- Total: $18,062
- Fee savings: $350

If Ned had just used credit cards for these customers: Would have $10,000 in cash minus $410 in fees = $9,590

**He's ahead by: $8,472**

**Ned's thinking:** "The $200K crossing was everywhere. My phone blew up with customers asking about paying with Bitcoin. This is getting interesting."

## Year 3: The Media Attention Sustains (2028)

It's December 2028. Bitcoin started the year at $215K and is ending at $281K. The media coverage that began with the $200K crossing hasn't stopped.

**What's different:**

- Three more Logan Square businesses now accept Bitcoin
- Regular Bitcoin customers: Now 25 people
- 2028 Bitcoin revenue: $8,000 (2% of transactions)
- Even some older customers are asking their kids: "How does this Bitcoin thing work?"

**The financial picture (2026-2028):**

- Cash accumulated from 50/50 strategy: $9,000
- Bitcoin accumulated: 0.0945 BTC
- Current value: $26,522 (at $281K per BTC year-end)
- Total: $35,522
- Fee savings: $598

If Ned had just used credit cards: Would have $18,000 in cash minus $738 in fees = $17,262

**He's ahead by: $18,260**

**Ned's thinking:** "I'm starting to understand what those early Bitcoin customers were talking about. This isn't just a payment method - it's actually changing my business's financial position."

## Five Years In: The Espresso Machine and Beyond (2030)

It's December 2030. Bitcoin is at $480,000.

Ned is reviewing his business performance with his accountant.

**Five-year Bitcoin summary:**

- Total revenue received in Bitcoin: $46,000
- Cash converted (50%): $23,000
- Bitcoin held (50%): 0.0842 BTC
- Current value of Bitcoin: $40,438
- Total: $63,438
- Fee savings: $1,466
- vs. credit card processing: Would have been $44,115 after fees
- **Business value created: $20,789**

**What Ned Bought with This:**

- The La Marzocco espresso machine: $17,000 (converted some Bitcoin when BTC was around $450K)
- Staff bonuses: $5,000 (from the cash portion)
- Business savings account: Still holding 0.046 BTC (~$22,100 at $480K) for future opportunities

**The math:** Ned's 0.0842 BTC at $480K = $40,438. He converted 0.0383 BTC (worth ~$17,300) for the espresso machine, gave $5,000 in bonuses from his accumulated cash, and kept 0.046 BTC (~$22,100) in reserve.

**What Changed in the Business:**

The Bitcoin customers (now 40-50 regulars) are Ned's most loyal community members. They:

- Come 3-4× per week
- Bring friends and family
- Organize events at the shop
- Promoted Ned's on social media when he got the new espresso machine
- Have NEVER complained about price increases

**Ned's perspective:**

"Looking back, even if Bitcoin had stayed flat or dropped, I would've been fine. The 50/50 split meant I always had cash. The fee savings alone paid for themselves. The loyal customers? Worth it by themselves.

But the fact that the Bitcoin appreciated? That turned money I was receiving anyway into real business growth capital. The new espresso machine came from customers paying me for coffee and burritos - I just held some of those payments in Bitcoin instead of converting immediately.

Best business decision I've made in years. And the easiest."

# The Three Strategic Options: Your Decision, Your Risk Tolerance

Now that you've seen how this played out for Ned, let's break down the three approaches you can take. Square gives you complete control over what happens to Bitcoin payments.

## Option 1: The Hybrid 50/50 Approach (Recommended for Most Owners)

**The approach:** Split every Bitcoin payment 50/50 - half converts to USD immediately, half stays in Bitcoin. Your business gets both certainty and upside exposure.

**Who this is for:** Most coffee shop owners. This is the Goldilocks option - not too conservative, not too aggressive, just right.

**What your business gets over 5 years:**

**Cash accumulated (50% of payments):**

- 2026: $2,000
- 2027: $3,000
- 2028: $4,000
- 2029: $6,000
- 2030: $8,000
- **Total cash: $23,000**

**Bitcoin accumulated (50% of payments):**

- You receive $23,000 in Bitcoin over 5 years (50% of total payments)
- You acquire approximately 0.0842 BTC at varying prices
- Value in 2030: $40,438 (at $480,265 per BTC)*

**Total business value in 2030:**

- Cash: $23,000
- Bitcoin: $40,438
- Fee savings: $1,466
- **Total: $64,904**
- vs. credit card processing: $44,115
- **Net benefit: $20,789 more value**

**Price projections based on Power Law model - see explanation below and companion document for full analysis.*

**The appeal:** You've created $20,789 more value in your business than if those same customers had paid with credit cards. Half is in cash (certain, spendable today), half is in Bitcoin (potential for continued appreciation).

**Why this works:** Even if Bitcoin dropped 50%, you still have the cash half plus fee savings. You're still ahead of credit card processing. The downside is capped. The upside is substantial.

## Option 2: Auto-Convert Everything to USD (The Safety Play)

**The approach:** Every Bitcoin payment immediately converts to dollars. You treat it exactly like a credit card payment - instant liquidity, zero Bitcoin exposure.

**Who this is for:** Risk-averse operators who want fee savings and nothing else. They're not interested in Bitcoin's appreciation potential - they just want to reduce processing costs and keep operations simple.

**What your business gets over 5 years:**

| Year | Bitcoin Revenue | Fee Savings | Cash in Hand |
|---|---|---|---|
| 2026 | $4,000 | $164 | $4,000 |
| 2027 | $6,000 | $186 | $10,000 |
| 2028 | $8,000 | $248 | $18,000 |
| 2029 | $12,000 | $372 | $30,000 |
| 2030 | $16,000 | $496 | $46,000 |

**Result:**

- $46,000 in business cash (which was revenue either way)
- $1,466 in fee savings
- **Total business benefit: $1,466** (compared to credit card processing)
- **Plus:** 10-40+ loyal customers who come 2-3× more often

**Important clarification:** The $46,000 is revenue you were getting anyway (customers just used credit cards before). The business benefit is the $1,466 in saved fees plus the customer loyalty and word-of-mouth.

**The psychological benefit:** Zero stress. No volatility exposure. No learning curve about Bitcoin. Just lower fees and more loyal customers.

## Option 3: Hold 100% in Bitcoin (The Aggressive Play)

**The approach:** All Bitcoin payments stay in Bitcoin. Nothing converts to USD. Your business accumulates Bitcoin as customers pay you.

**Who this is for:** Operators who believe Bitcoin's 16-year growth trajectory will continue. They can handle volatility. They want maximum exposure to the appreciation potential and don't need immediate liquidity from this small percentage of revenue.

**What your business gets over 5 years:**

**Year-by-Year Accumulation:**

| Year | Revenue | Avg BTC Price | BTC Acquired | Cumulative BTC | Year-End Value |
|---|---|---|---|---|---|
| 2026 | $4,000 | $135,000 | 0.0296 | 0.0296 | $4,582 |
| 2027 | $6,000 | $184,000 | 0.0326 | 0.0622 | $13,062 |
| 2028 | $8,000 | $248,000 | 0.0323 | 0.0945 | $26,522 |
| 2029 | $12,000 | $328,000 | 0.0366 | 0.1311 | $48,439 |
| 2030 | $16,000 | $429,000 | 0.0373 | 0.1684 | $80,877 |

**Five-Year Result:**

- Total Bitcoin payments received: $46,000
- Total BTC accumulated: 0.1684 BTC (buying at average prices throughout each year)
- Value at end of 2030: $80,877 (at $480,265 per BTC)
- Plus fee savings: $1,466
- **Total business value: $82,343**
- vs. credit card processing: Would have been $44,115
- **Net benefit: $38,228 more value**

**The risk:** Bitcoin's price trajectory doesn't continue as predicted. In the worst case (Bitcoin crashes), you've "lost" the profit margin on 1-4% of your sales (about $11,500 over 5 years in actual profit dollars).

**Why you might choose this:** You deeply believe Bitcoin will continue its 16-year trajectory. You can handle watching the value fluctuate. You want maximum business value creation from payments you're receiving anyway.

# About Those Fractional Bitcoin Amounts

You might be looking at 0.0842 BTC or 0.1684 BTC and thinking "that's not even close to one whole Bitcoin."

**This is where unit bias tricks us.** These fractional amounts could be extremely meaningful - not just in 2030, but especially in 2035 and beyond.

**If the Power Law model continues:**

- 0.0842 BTC (50/50 strategy):
    - 2030: $40,438
    - 2035: ~$84,200
    - 2045: ~$842,000
- 0.1684 BTC (100% hold strategy):
    - 2030: $80,877
    - 2035: ~$168,400
    - 2045: ~$1,684,000

**We have a companion document** ("Why 0.15 Bitcoin Actually Matters") that explains in detail why these fractional amounts matter, how the Power Law model works, what drives it, and what these holdings could mean for your long-term business planning.

**For now, the key point:** If you're building a long-term business, accumulating even fractional Bitcoin through normal revenue operations could create meaningful value over the next 10-20 years.

Let's keep moving through the business case.

# Understanding the Real Risk

Here's what's important to understand: **You're not "investing" money into Bitcoin.**

You're making a decision about business revenue you're already receiving.

Every time Chris walks in and spends money - sometimes it's a $5 coffee, other times it's $13.50 on a burrito and coffee:

- He's paying you for goods and services
- You're providing ingredients and labor
- That transaction happens whether he pays with a credit card or Bitcoin

**The only question is: What does your business do with the payment?**

**Option A:** Credit card - pay 2.6% + $0.15 in fees, get USD in 1-2 days
**Option B:** Bitcoin - pay 0-1% in fees, choose to keep as Bitcoin or convert to USD instantly

## What's the Actual Cost?

Let's say your profit margin is 25% (typical for coffee shops).

**Conservative growth model over 5 years:**

- Total Bitcoin revenue: $46,000
- Actual profit in that revenue: $11,500 (25% margin)
- Cost of goods/labor: $34,500 (already covered by other revenue)

**So if you hold 100% and Bitcoin goes to zero:**

- You've "lost" $11,500 in profit
- That's 2.3% of your 5-year cumulative profit ($500K over 5 years)
- Or put another way: the profit equivalent of serving 2.875% of your customer base over 5 years

**If you do the 50/50 split and Bitcoin goes to zero:**

- You've "lost" $5,750 in profit from the held portion
- You still have $23,000 in cash from the converted portion
- Net outcome: You're up $17,250 vs. having done nothing
- Plus you saved $1,466 in fees
- **Net: You're still up $18,716**

This is why the 50/50 approach is so appealing - even in a worst-case Bitcoin scenario, your business is better off than if you'd just kept accepting credit cards.

## The Conservative Customer Growth Model

The numbers in this analysis assume Bitcoin adoption grows gradually over five years:

**Conservative Customer Growth:**

- Year 1 (2026): 1.0% of transactions via Bitcoin = $4,000 revenue
- Year 2 (2027): 1.5% of transactions via Bitcoin = $6,000 revenue
- Year 3 (2028): 2.0% of transactions via Bitcoin = $8,000 revenue
- Year 4 (2029): 3.0% of transactions via Bitcoin = $12,000 revenue
- Year 5 (2030): 4.0% of transactions via Bitcoin = $16,000 revenue

**Total Bitcoin payment revenue over 5 years: $46,000**

**Why growth starts immediately in 2026:**

Right now, there's buzz in the Bitcoin community about Square's launch. Bitcoin users actively search for businesses that accept it using tools like **BTCMap.org -** a global map showing every business accepting Bitcoin. When you enable Bitcoin payments, you can add yourself to this map.

**Bitcoin users will literally drive out of their way to spend at businesses on BTCMap.** They're not just customers - they're on a mission to support the circular economy. They want you to succeed because your success proves the model works.

In Logan Square, you have an especially high concentration of these early adopters. They're already looking for you.

**Why growth accelerates through 2030:**

- Bitcoin crosses $200K in late 2027 → massive media attention begins
- Throughout 2028-2030, Bitcoin continues rising from $215K → $281K → $369K → $480K → sustained media coverage
- Other Logan Square businesses start accepting it → network effect strengthens
- Your early-adopter customers tell everyone → word spreads
- It becomes expected, not unusual

The 1-4% growth is conservative. In a neighborhood like Logan Square with strong Bitcoin culture, you could see higher adoption. But we're modeling the downside case to show that even modest adoption creates meaningful value.

# About the Bitcoin Price Projections

You might be wondering: "Where do these Bitcoin price projections come from?"

**The answer:** The Power Law model - a mathematical pattern Bitcoin has followed for 16 years with 95% correlation.

## What is the Power Law?

Bitcoin's price has followed a power law relationship with time since inception. This means its growth is mathematically predictable with remarkable accuracy.

**Key statistics:**

- **$R^2$ correlation: 0.95** (this is the important number)
- 16 years of data (2009-2024)
- Successfully predicted every major cycle peak and trough within confidence bands

**What does $R^2$ = 0.95 actually mean?**

In statistics, R-squared ($R^2$) measures how well a mathematical model explains real-world data. It ranges from 0 (no correlation at all) to 1.0 (perfect correlation).

- **$R^2$ = 0.95 means 95% of Bitcoin's price movement over 16 years can be explained by this single mathematical relationship with time.**
- Most financial models are lucky to hit 0.70 (70% correlation)
- Traditional stock market predictions? Often below 0.50
- You almost never see 0.95 correlation in financial markets

**To put this in perspective:** If you were trying to predict stock prices, commodity prices, or real estate prices, you'd be thrilled with 0.70 correlation. Bitcoin's 0.95 correlation over 16 years is extraordinary. It suggests something fundamental about how the asset grows over time.

**The pattern has held through everything:**

- Mt. Gox collapse in 2014 (850,000 Bitcoin stolen) → pattern held
- China banning Bitcoin mining in 2021 → pattern held
- COVID crash in March 2020 → pattern held
- FTX implosion in 2022 (billions vanished) → pattern held
- Every time people said "Bitcoin is dead," the price recovered and continued following the same trajectory

Bitcoin is volatile as hell month to month. But zoom out to the yearly view and it follows the pattern with remarkable precision.

**This isn't some curve drawn after the fact to fit the data.** Physicists and data scientists identified the power law years ago, and it's successfully predicted every major cycle since then:

- When Bitcoin hit $69,000 in 2021, the power law said it was overheated
- When it crashed to $16,000 in 2022, the power law said it was undervalued
- Both times, price moved back toward the curve

**The people behind this model aren't crypto promoters:**

- Fred Krueger: Stanford PhD who built trading algorithms for Wall Street
- Ben Sigman: Bitcoin developer focused on mathematical analysis
- Giovanni Santostasi: Physicist who first identified the power law pattern
- Their book *Bitcoin One Million* lays out the case with charts and data that multiple independent analysts have verified

**The model projects:**

- 2026: $135K average, $155K year-end
- 2027: $184K average, $210K year-end (Bitcoin crosses $200K in December 2027)
- 2028: $248K average, $281K year-end
- 2029: $328K average, $369K year-end
- 2030: $429K average, $480K year-end

## Why $200K Matters

When Bitcoin crosses $200,000 (late 2027):

- Massive mainstream media coverage begins
- "Bitcoin millionaire" stories everywhere
- Every financial advisor discussing it
- Your customers asking: "Where can I spend my Bitcoin?"

Throughout 2028-2030: The media attention sustains as Bitcoin continues from $215K → $281K → $369K → $480K

This is when adoption accelerates dramatically - which is why we model customer growth from 1% to 4% over five years. We're being conservative; it could be much more.

## The Conservative Case

Even if you think Power Law is too optimistic, consider:

- **BlackRock and Fidelity** - the world's largest asset managers with trillions of dollars under management - now offer Bitcoin ETFs to their investors. These are the most conservative, risk-averse institutions in global finance. They don't make these decisions lightly.
- Institutional adoption is accelerating across finance, technology, and corporate treasuries
- Bitcoin ETFs saw record inflows in 2024
- Supply shock after 2024 halving (new Bitcoin supply cut in half)

**Conservative scenario:** Bitcoin grows 15% annually (far below Power Law)

- 2030 price: ~$220,000
- Your 0.0842 BTC (50/50 strategy): worth ~$18,524
- Still better than credit card processing

**For a complete explanation of the Power Law model, what drives it, and what fractional Bitcoin could be worth long-term, see our companion document: "Why 0.15 Bitcoin Actually Matters."**

## Fee Savings Analysis

Here's the detailed breakdown of fee savings over five years:

**Year 1 (2026) with 0% Bitcoin fees:**

- Bitcoin payment revenue: $4,000
- Processing fee at 0%: $0
- If those were credit card transactions: $164
- **First-year savings: $164**

**Years 2-5 (2027-2030) with 1% Bitcoin fees:**

| Year | Bitcoin Revenue | Bitcoin Fee (1%) | Credit Card Fee | Annual Savings |
|---|---|---|---|---|
| 2027 | $6,000 | $60 | $246 | $186 |
| 2028 | $8,000 | $80 | $328 | $248 |
| 2029 | $12,000 | $120 | $492 | $372 |
| 2030 | $16,000 | $160 | $656 | $496 |

**Five-year total fee savings: $1,466**

This isn't transformational by itself. But combined with either customer loyalty (auto-convert strategy) or Bitcoin appreciation (hold strategies), it adds meaningful value to your business.

## The Decision Framework

Let's bring this back to you and make it practical.

### You should accept Bitcoin if:

✅ You're already using Square (integration is seamless - literally a checkbox in settings)
✅ You're comfortable with basic technology (if you can use a smartphone, you can use this)
✅ You're intrigued by the idea of building business value through an appreciating asset
✅ You're interested in attracting loyal, values-aligned customers
✅ 1-4% of your revenue could stay in the business for 1-5 years without operational strain

### You should NOT accept Bitcoin if:

❌ Technology intimidates you (though honestly, Square makes this nearly foolproof)
❌ You need every single dollar immediately for operations (though 50/50 gives you half immediately)

❌ You can't handle volatility psychologically (will check balance daily and stress)
❌ You're philosophically opposed to Bitcoin

### Our Recommendation for Most Coffee Shop Owners

**Start with Option 1 (Hybrid 50/50):**

- Creates $20,789 more business value over 5 years than credit cards (if Power Law continues)
- Keeps $23,000 cash in hand over 5 years (certain)
- Builds Bitcoin treasury of $40,438 over 5 years (if Power Law continues)
- Gives you both safety and opportunity
- Can adjust strategy anytime based on comfort and needs

**If 50/50 feels aggressive:**

- Start with 25/75 (convert 75%, hold 25%)
- Still better than credit cards, less Bitcoin exposure
- Adjust after a few months based on comfort
- Remember: you can always convert more, you can't go back in time to hold more

**If you're truly risk-averse:**

- Start with Option 2 (auto-convert everything)
- You still get fee savings and loyal customers
- Can always switch to holding later if you change your mind

**The beauty of Square's system:** you're not locked into anything. Change your conversion percentage anytime. This isn't a one-time irreversible decision.

## The Bottom Line

You built your coffee shop into a $400,000 annual revenue business netting $100,000 for yourself. That required intelligence, hard work, risk-taking, and hundreds of good decisions over time.

**This is another good decision:**

### It costs nothing to implement

Square handles everything. No new hardware, no complex software, no training required. A checkbox in your dashboard.

### It creates immediate business value

Fee savings starting day one. Even the conservative path (convert everything) adds $1,466 in business value over 5 years.

### It attracts loyal customers

10-40+ local Bitcoin users who actively want to help you succeed, who come 3-4× more often, who bring friends, who promote you on social media, who never complain about prices.

### It builds business value over time

The 50/50 approach creates $20,789 more business value over 5 years than credit card processing - money that can buy equipment, fund expansion, create financial cushion, or support early retirement planning.

### The timing is unique

- 0% fees through 2026 (test it free for a year)
- Power Law showing Bitcoin at $135K in 2026, crossing $200K in late 2027, reaching $480K by end of 2030
- Bitcoin crossing $200K in late 2027 will trigger massive adoption throughout 2028-2030
- First-mover advantage in your neighborhood's Bitcoin community

The 1-4% of revenue you receive in Bitcoin payments isn't going to make or break your business. The business will succeed or fail based on the core: coffee quality, food quality, service, location, atmosphere.

But that small percentage might fund:

- New espresso machine ($17,000)
- Staff bonuses ($5,000)
- Down payment on a second location ($25,000)

**All from payments you were receiving anyway - just held differently.**

## Next Steps

**1. Visit** [squareup.com/bitcoin](squareup.com/bitcoin) to see Square's official documentation and setup instructions

**2. Talk to the person who shared this white paper** - they can answer questions about Bitcoin, the Chicago Bitcoin community, and the practical details

**3. If you decide to do it:**

- Enable Bitcoin Payments in your Square Dashboard (takes ~2 minutes)
- Choose your conversion strategy (50/50 is recommended starting point)
- Put up simple signage ("Bitcoin accepted here")
- Add yourself to BTCMap.org so Bitcoin users can find you
- Let the local Bitcoin community know (post on social media, tell the meetup group)
- Watch for those first few Bitcoin customers (it's a cool moment!)

**4. Review and adjust** - After 3-6 months, look at the results. Adjust your conversion percentage if needed. This is a flexible decision, not a permanent commitment.

# The Real Question

The real question isn't "Why should I accept Bitcoin?"

The real question is: **"Why wouldn't I?"**

✅ Zero cost to implement
✅ Immediate fee savings
✅ Loyal customer community
✅ Business value creation potential
✅ Perfect timing (0% fees, Power Law trajectory, $200K approaching)
✅ Flexible (adjust strategy anytime)

For a business decision that takes 2 minutes to implement and costs nothing, the potential upside is remarkable.

**The accumulation window won't stay open forever.**

**The only cost is the cost of NOT doing it.**

# Appendix: Tax Treatment (For Your Accountant)

## When you receive Bitcoin payments:

- Ordinary income at fair market value on the date received
- Same as receiving cash - you owe income tax on the revenue

## When you convert Bitcoin to USD:

- Capital gain/loss based on difference between:
  - Acquisition price (when customer paid you)
  - Sale price (when you converted)
- Short-term (<1 year) or long-term (>1 year) rates apply

## Record keeping:

- Square provides transaction records
- Your accountant can treat it like any other payment processor
- Standard business accounting applies

## Example:

- Customer pays $10 when Bitcoin is $100,000
- You receive 0.0001 BTC
- You owe income tax on $10 (ordinary income)
- Later you convert when Bitcoin is $150,000
- You owe capital gains tax on $5 gain (0.0001 BTC × $50K appreciation)

Your accountant will understand this immediately - it's straightforward business income plus capital gains treatment.

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**DISCLAIMER:** This white paper uses Power Law projections based on 16 years of historical data with 95% correlation. Past performance does not guarantee future results. Bitcoin is a volatile asset. All scenarios assume historical patterns continue, which is not guaranteed. The authors are Bitcoin advocates who believe circular economy usage is essential for Bitcoin's long-term success. Consult with financial and tax advisors before making business decisions. This document is for educational purposes only and should not be considered financial or investment advice.

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